

and Antti Petajisto have together conducted a thorough research investigation into focus investing based on a concept they call “active share.”³⁹

Active share represents the percentage share of a portfolio that is different from the benchmark index holdings the portfolio is measured against. It is stated as a percentage and takes into account not only security selection but also the overweighting and underweighting of the stocks in the portfolio compared to the weighting in the benchmark. According to Cremers and Petajisto, portfolio managers with an active share of 60 percent or less are closet indexers. That is, their portfolios closely resemble the index they are being measured against. A portfolio within active share of 80 percent or more is a portfolio that is truly different from the index.

Cremers and Petajisto computed the active share for domestic equity mutual funds from 1980 to 2003. They were able to relate the active share to the fund’s characteristics, including size, expenses, turnover ratios, and performance. What did they discover? Active share predicts fund performance. The mutual funds with the highest active share, funds that were the most different from the index, significantly outperformed their benchmark, whereas those with the lowest active share underperformed their benchmarks.

Interestingly, Cremers reports that in 1980, 50 percent of large-cap mutual funds had an active share score of 80 percent or more. That is, half the mutual funds had a portfolio that was significantly different from their benchmark. Today, just 25 percent of mutual funds are considered truly active. “Both investors and fund managers have become more benchmark-aware,” says Cremers. “As a manager, you want to avoid being in the bottom 20% or 40% (of your peer group). The safest way to do that, especially when you’re evaluated over the shorter time periods, is to hug the index.”⁴⁰

Because investors habitually take money away from underperforming mutual funds, portfolio managers have increasingly made their portfolios more similar to indexes, thereby reducing the chance they will significantly underperform the index. Of course, as we learned, the more your portfolio resembles the index, the less likely you are to outperform it. It is important to remember that any portfolio manager who has a portfolio that is different